

"debits and credits" in regard to their transactions that is kept in a "reasonably permanent form." (Civ. Code § 337a(a).) To the contrary, Tank-Tek's allegations appear to support the inference that Tank-Tek merely issued specific invoices for the work it performed for Petro. (X-Compl. ¶ 6 ["long history of invoicing and payments"].) Tank-Tek has not alleged the essential element of this cause of action that it kept an account of debits and credits involved in the transactions between the parties. (*State Comp. Ins. Fund, supra*, 50 Cal.App.5th at 449.)

The general demurrer to the third cause of action is **SUSTAINED**. The Court need not reach the special demurrer for uncertainty based on this ruling.

C. Unjust Enrichment (5th C/A)

Petro asserts that there is no independent claim for unjust enrichment under California law, but that unjust enrichment is founded on common law principles of restitution that a party should return a benefit received if retention of the benefit would leave the party unjustly enriched. Petro acknowledges the restitution is a remedy typically for a quasi-contract cause of action.

Though Petro argues that Tank-Tek does not plead this cause of action as a quasi-contract claim, Tank-Tek has alleged a quasi-contract claim in its fourth cause of action seeking recovery for the value of goods and services Tank-Tek performed for Petro's clients. (X-Compl. ¶¶ 22-24.) Petro did not demur to that cause of action, and the allegations of that cause of action are expressly incorporated into the fifth cause of action (X-Compl. ¶ 25), providing a foundation for the claim for unjust enrichment/restitution.

The general demurrer to the fifth cause of action is **OVERRULED**.

Conclusion and Ruling

The Court finds that Tank-Tek may be able to amend the second and third causes of action to state those claims. Therefore, the general demurrers to the second and third causes of action are **SUSTAINED, WITH LEAVE TO AMEND**. The general demurrer to the fifth cause of action is **OVERRULED**.

15. 9:00 AM CASE NUMBER: C26-00467
CASE NAME: PETRO-ANALYTICAL, INC., VS. TANK-TEK ENVIRONMENTAL CORPORATION,
***HEARING ON MOTION IN RE: SEVER XC OF TANK-TEK ENVIRONMENTAL CORPORATION**
FILED BY: PETRO-ANALYTICAL, INC.,
TENTATIVE RULING:

Before the Court is a motion by cross-defendant Petro-Analytical, Inc. to sever the cross-complaint of Tank-Tek Environmental Corporation from the complaint. For the reasons set forth, the motion to sever is **DENIED, WITHOUT PREJUDICE** as stated below.

Background

Plaintiff and cross-defendant Petro-Analytical, Inc. ("Petro") filed a complaint against defendant and cross-complainant Tank-Tek Environmental Corporation ("Tank-Tek") for breach of contract and an accounting arising out of a written Gross Profit and Revenue Sharing Agreement. (Compl. ¶ 6.) Petro alleges Tank-Tek agreed to invoice clients referred to Tank-Tek by Petro, collect the invoices, and remit a share of the profits to Petro. (Compl. ¶ 7.) Petro alleges that Tank-Tek owes Petro

\$214,088.07 for invoices through December 11, 2025 but claims damages for breach of the agreement estimated to be over \$500,000. (Compl. ¶¶ 10, 20.)

Tank-Tek filed a cross-complaint against Petro, alleging five causes of action. Tank-Tek alleges it had a "long-standing business relationship" with Petro, and that it had an oral contract with Petro to act as Petro's subcontractor for underground storage tank inspection, compliance and repairs. (X-Compl. ¶ 5.) It alleges that within the last two years, there was an accrued amount owing to Tank-Tek of \$407,884.69. (X-Compl. ¶¶ 5, 6, 8, 10, 13.) Though the cross-complaint refers to the profit sharing agreement alleged in the Petro complaint, Tank-Tek does not base its claims for relief on the profit sharing agreement. (Compare X-Compl. ¶ 7 to X-Compl. ¶¶ 5, 6, 8, 10, 13, and others.)

Legal Authority for Motion to Sever or Alternative Relief Sought by Petro

Petro's motion is made on the authority of Code of Civil Procedure section 1048(b). That statute provides that the trial court "in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint, or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States." (Code Civ. Proc. § 1048(b).) Notably, the term "sever" no longer appears in Code of Civil Procedure section 1048(b); the term was removed from the statute in 1971, and the statute "no longer authorizes severance of a civil action." (*Morehart v. County of Santa Barbara* (1994) 7 Cal. 4th 725, 737 fn. 3.) Instead, the statute authorizes the court to order that causes of action be tried separately. (*Id.*) The Court interprets the motion as one to bifurcate and to order separate trials of the complaint and cross-complaint.

Among the goals sought to be achieved by bifurcation is limiting the risk of jury confusion, simplifying the presentation of evidence, and expediting the resolution of the case. (*Regents of Univ. of Cal. v. Sheily* (2004) 122 Cal.App.4th 824, 833; *Foreman & Clark Corp. v. Fallon* (1971) 3 Cal.3d 875, 888.) Whether to bifurcate and the manner in which to bifurcate a case for trial is within the trial court's discretion. (Code Civ. Proc. § 1048(b); *Grappo v. Coventry Financial Corp.* (1991) 235 Cal.App.3d 496, 504 [under Evidence Code section 320, and Code of Civil Procedure sections 598 and 1048(b), "trial courts have broad discretion to determine the order of proof in the interests of judicial economy."]; *Regents of University of California, supra*, 122 Cal.App.4th at 833.) The Court's authority to bifurcate is consistent with the trial court's inherent power to regulate the order of proof at trial and provide for the orderly conduct of the proceeding. (Code Civ. Proc. §§ 128(a)(3) and 187 ["all the means necessary to carry" out the court's jurisdiction "are also given" and "any suitable process or mode of proceeding may be adopted which may appear most conformable to the spirit of this Code."]; Evid. Code § 320 ["Except as otherwise provided by law, the court in its discretion shall regulate the order of proof."].)

Analysis

Petro moves for an order severing the cross-complaint for a separate trial. Alternatively, Petro asks for a series of orders, including ordering the parties to maintain separate accountings and ordering special verdict forms, bifurcation to try the complaint issues first, and certain jury instructions. (MPA ISO Mot. pp. 7-8.)

Petro argues that the complaint is based on a contract that is distinct and separate from the oral

contract for subcontractor work by Tank-Tek on which the claims alleged in the cross-complaint are based. Tank-Tek does not dispute that the contracts and transactions involved in the complaint are different from those involved in the cross-complaint, but Tank-Tek contends the actions should be tried together because the oral contract and related claims and transactions alleged in the cross-complaint are the basis for Tank-Tek's affirmative defense of offset.

This case has been pending for approximately seven months. The Court has concurrently sustained a demurrer to some of the causes of action of the cross-complaint, with leave to amend. The pleadings are not settled. A further case management conference is set for January 20, 2027. The claims alleged in the complaint and cross-complaint at least on their face do not appear to be particularly complicated, such that it is not clear that there would be confusion if the complaint and cross-complaint are not tried together. On this record, the Court has no information or evidence on this motion addressing the anticipated proof at trial, including whether the same fact witnesses will be appearing on the complaint and cross-complaint, whether or not there will be overlapping documentary evidence on the complaint and cross-complaint issues, whether the parties anticipate the need for expert witnesses, and if so, whether any experts would be expected to testify at trial on both the complaint and cross-complaint.

The Court finds that it is premature to determine whether bifurcation is appropriate to try the complaint separately from the cross-complaint and to order the complaint tried first. The Court also finds that the Court does not have a sufficient factual record or information at this early stage in the case to address procedures for any future trial, including verdict forms and jury instructions or the order of presentation of the claims and evidence. Petro's request to bifurcate the case to try the claims alleged in the complaint first may be appropriate, but the Court finds it is premature to determine the issues raised in the motion at this point.

Conclusion and Ruling

In the Court's discretion, the motion is **DENIED, WITHOUT PREJUDICE** to either party bringing a request for bifurcation or for orders regarding the presentation of claims and evidence in connection with any future trial setting or otherwise as appropriate as the case develops.

16. 9:00 AM CASE NUMBER: MSC22-00134
CASE NAME: RODRIGUEZ VS. STRONG
HEARING ON DEMURRER TO: 1ST AMENDED CROSS COMPLAINT
FILED BY:
TENTATIVE RULING:

Before the Court is a demurrer by cross-defendant Alberto Mendez to the first amended cross-complaint filed by cross-complainant Michelle Strong.

Background

This action involves disputes over the operation of a restaurant and brewery business in Martinez, now closed. In the main action in the currently operative first amended complaint, Plaintiff Juan Reynaldo Rodriguez has sued Michelle Strong, LaSalle Strong, and Rocksteady Brewery Co. On April 29, 2022, Michelle Strong and LaSalle Strong filed a cross-complaint against Juan Rodriguez. After Rocksteady was added as a defendant in the main action, Rocksteady filed a cross-complaint against